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DIVERSIFIED REVENUES Experts say the oil-to-chemicals business remains a key revenue driver, but Reliance has become a leader in newer sectors

revenues and Ebitda over the next three to four years.”

THE OLD AND NEW

In terms of RIL's business portfolio, a peek into the old and new provides perspective. Apurva Sheth, Head of Market Perspectives & Research, Samco Securities, says RIL has effectively navigated the transition. “While its core O2C segment remains a key revenue driver, its growth has plateaued due to fluctuating oil prices. This has led it to explore new avenues with broader growth potential, such as telecom and retail, where it is a market leader,” he points out.

A strategic spin-off of its financial services business (to create Jio Financial Services) and partnerships with global private equity firms “reflects its adaptability”. In the AI piece, Sheth looks at the recent meeting between Mukesh Ambani and Nvidia's CEO, Jensen

Huang, to highlight “RIL's focus on deploying AI across Jio's services.” From an overall strategic perspective, he thinks RIL has effectively diversified beyond its traditional business, focussing on growth, tech, and leadership transition.

That significant shift towards becoming a full-fledged tech entity is now core to the company. Sheth looks at the telecom and retail sectors, where RIL is a key player, with industry decisions centred on technological integration and diversification. “Telecom companies have invested heavily in broadband and 5G infrastructure, allowing them to expand into entertainment services like OTT platforms, gaming, and smart home solutions. This shift has increased customer retention and revenue streams,” he says. In retail, a concerted shift towards digital platforms, e-commerce, and omnichannel strategies has

resulted in strong growth. “Innovations like hyperlocal deliveries and collaborations with fintech companies have improved customer convenience and engagement,” says Sheth.

Gaurav Dua, Senior Vice President and Head of Capital Market Strategy, Sharekhan by BNP Paribas, views RIL as an example of a well-planned and successful transition of a large conglomerate. “It has effectively utilised the free cash flows from its traditional businesses of oil and chemicals to build world-class companies in retail and telecom/tech segments. Now, they are venturing into other fast-growing verticals like financial services, renewable energy, AI infrastructure, and related services,” he says. Minority shareholders are “eagerly waiting for value unlocking in retail and Jio,” he says.

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The move into renewable energy is easily RIL's most ambitious venture, with big-ticket investments in technology lined up to keep pace with what's happening globally.

Jigar Shah, Head of Sustainability Research at Maybank Investment Banking Group, identifies RIL's entry into renewable energy as a “mega opportunity” where the company can use its manufacturing prowess very effectively. “This is where areas like electrolyzers and battery energy storage systems will come into play,” he says. This business, to most people, is still unknown, and those familiar with RIL are clear that a historical understanding of chemicals and manufacturing with scale could position it very well.

If one looks at carbon capture, RIL, using high-powered tech, can use that in other industries. “This is highly capital-intensive when looking at it from a scalability point of view,” explains Shah. Besides, RIL